PAYROLLING BENEFITS IN KIND · GOV.UK

From April 2027 a company van goes through payroll.

A van your employee also uses privately is taxed income. The tax comes off their pay each payday, not after the year end.

WHAT IS IN FIRST

Apr 2027

Company cars and car fuel, vans and van fuel, and medical cover must go through the payroll from 6 April 2027. Most other benefits follow on 6 April 2028.

> You do not register for it — on 6 April 2027 it simply starts.

WHO HAS NOTHING TO DO

Wages

An employer who gives wages and nothing else — no car, no van, no fuel, no medical cover — has nothing to payroll and nothing to change.

> Employer loans and living accommodation are left out for now; HMRC will confirm them later.

OLA ACCOUNTANCY · BIRMINGHAM

Does your payroll software do this yet?

Our Birmingham office will send you HMRC's list of the benefits that must be payrolled from April 2027.

0330 133 1886

General information. For your own situation, speak to an accountant.